

Apple Inc. (AAPL)

N/A · N/A · NASDAQ · USD

WACC-Based Intrinsic Valuation

Valuation Date: 2026-06-12

SEC CIK: 0000320193

Methodology: WACC-Based DCF (NYU Stern)

STRONG
SELL

DCF Intrinsic Value vs. Current Market Price

\$121.08

INTRINSIC
VALUE / SHARE

\$295.63

CURRENT
MARKET PRICE

-59.0%

UPSIDE /
(DOWNSIDE)

-144.2%

MARGIN OF
SAFETY

Key Financial Metrics

MARKET CAP

\$4.34T

Market Value of Equity

ENTERPRISE VALUE

\$4.41T

Mkt EV (Yahoo Finance)

REVENUE (TTM)

\$416.16B

Rev. Growth: 3.2%

EBIT (OPERATING INC.)

\$133.05B

EBIT Margin: 32.0%

FREE CASH FLOW

\$98.77B

FCF Margin: 23.7%

TOTAL DEBT

\$103.03B

D/E: 1.40x

CASH & EQUIVALENTS

\$35.93B

Net Debt: \$67.09B

ROIC

63.5%

Return on Invested Capital

BETA (B)

1.00

vs. Market (Yahoo Finance)

TRAILING P/E

38.8x

Price / Earnings

FORWARD P/E

N/A

Est. Forward Earnings

EV/EBITDA

30.5x

Enterprise Multiple

Valuation Methodology — Step by Step

1 Weighted Average Cost of Capital (WACC)

The WACC is the discount rate applied to all future cash flows. It reflects the blended required return across equity and debt holders, weighted by market-value capital structure.

Cost of Equity — CAPM

$$\begin{aligned} R_e &= R_f + \beta \times ERP \\ R_e &= 4.5\% + 1.00 \times 4.6\% \\ R_e &= 9.1\% \end{aligned}$$

Risk-Free Rate (Rf)	4.5%
Beta (β)	1.000
Equity Risk Premium (ERP)	4.6%
Cost of Equity	9.1%

Cost of Debt (After-tax)

$$\begin{aligned} R_d &= \text{Interest Exp} / \text{Total Debt} \\ R_d(1-t) &= 3.8\% \times (1 - 15.6\%) \\ R_d(1-t) &= 3.2\% \end{aligned}$$

Interest Expense	\$3.93B
Total Debt	\$103.03B
Pre-tax Cost of Debt	3.8%
Effective Tax Rate	15.6%
After-tax Cost of Debt	3.2%

WACC Calculation

$WACC = W_e \times R_e + W_d \times R_d(1-t)$
 $WACC = 97.7\% \times 9.1\% + 2.3\% \times 3.2\%$
 $WACC = 8.9\%$

COMPONENT	WEIGHT	COST	WEIGHTED COST
Equity (Market Cap)	97.7%	9.1%	8.9%
Debt (Total Debt)	2.3%	3.2%	0.1%
WACC	100%	—	8.9%

2 10-Year Free Cash Flow Projections

FCF is projected using $\text{NOPAT} \times (1 - \text{Reinvestment Rate})$ with two growth stages. ■ **Green = Stage 1 (Yrs 1-5, 3.2% growth)** ■ **Orange = Stage 2 (Yrs 6-10, 2.8% growth)**

YEAR	GROWTH RATE	REVENUE	EBIT	NOPAT	FCFF	PV OF FCFF
1	3.2%	\$429.32B	\$137.26B	\$115.83B	\$114.78B	\$105.38B
2	3.2%	\$442.90B	\$141.60B	\$119.50B	\$118.41B	\$99.80B
3	3.2%	\$456.91B	\$146.08B	\$123.27B	\$122.16B	\$94.52B
4	3.2%	\$471.36B	\$150.70B	\$127.17B	\$126.02B	\$89.51B
5	3.2%	\$486.27B	\$155.46B	\$131.20B	\$130.01B	\$84.78B
6	2.8%	\$500.04B	\$159.87B	\$134.91B	\$133.69B	\$80.03B
7	2.8%	\$514.19B	\$164.39B	\$138.73B	\$137.47B	\$75.55B
8	2.8%	\$528.75B	\$169.05B	\$142.66B	\$141.37B	\$71.33B
9	2.8%	\$543.72B	\$173.83B	\$146.70B	\$145.37B	\$67.33B
10	2.8%	\$559.12B	\$178.75B	\$150.85B	\$149.48B	\$63.56B
PV of FCFs (Years 1–10)						\$831.79B

Terminal Value (Gordon Growth Model)

$$\begin{aligned} \text{TV} &= \text{FCF}_{10} \times (1 + g) / (\text{WACC} - g) \\ \text{TV} &= \$149.48\text{B} \times (1 + 2.5\%) / (8.9\% - 2.5\%) \\ \text{TV} &= \$2.38\text{T} \rightarrow \text{PV} = \mathbf{\$1.01\text{T}} \end{aligned}$$

Terminal Value represents 54.9% of Enterprise Value — values above 80% indicate higher model sensitivity.

Bridge: Enterprise Value → Intrinsic Value Per Share

PV of Free Cash Flows (Yrs 1–10)	\$831.79B
PV of Terminal Value	\$1.01T
Enterprise Value (DCF)	\$1.85T
Less: Total Debt	(\$103.03B)
Plus: Cash & Equivalents	+\$35.93B
Equity Value	\$1.78T
Shares Outstanding	14,687M
Intrinsic Value Per Share	\$121.08
Current Market Price	\$295.63
Upside / (Downside)	-59.0%

3 Sensitivity Analysis — Intrinsic Value Per Share

Intrinsic value per share across different WACC (rows) and Terminal Growth Rate (columns) assumptions. Shows valuation robustness. ■ **Green = BUY (>15% upside)** ■ **Yellow = HOLD** ■ **Red = SELL (>15% downside)**

WACC TGR	2.0%	2.5%	3.0%
7.9%	\$136.45 -53.8%	\$144.41 -51.2%	\$153.98 -47.9%
8.9%	\$115.79 -60.8%	\$121.08 -59.0%	\$127.27 -57.0%
9.9%	\$100.36 -66.1%	\$104.04 -64.8%	\$108.26 -63.4%

Current Price: \$295.63 · Base WACC: 8.9% · Base TGR: 2.5%

4 Key Assumptions Summary

ASSUMPTION	VALUE	SOURCE / RATIONALE
Risk-Free Rate (Rf)	4.5%	10-Year US Treasury (^TNX, Yahoo Finance, live)
Equity Risk Premium (ERP)	4.6%	NYU Stern ERP (NYU Stern) — Jan 2025 (pages.stern.nyu.edu/~adamodar)
Beta (β)	1.000	Yahoo Finance (5-year monthly regression vs. S&P 500)
WACC	8.9%	Calculated above
Revenue Growth — Stage 1 (Yrs 1–5)	3.2%	Based on 2-yr CAGR from SEC/Yahoo filings, capped at 20%
Revenue Growth — Stage 2 (Yrs 6–10)	2.8%	Linear fade from Stage 1 toward Terminal
Terminal Growth Rate (TGR)	2.5%	2.5% — Long-run nominal GDP growth (NYU Stern standard DCF convention)
EBIT Margin	32.0%	Most recent annual 10-K (stable margin assumption)
Effective Tax Rate	15.6%	Income Tax Expense / Pre-tax Income (from 10-K)
Reinvestment Rate	0.9%	(CapEx – D&A) / NOPAT — Capital intensity proxy

Data Sources

DATA POINT	SOURCE	URL
Financial Statements (Income, B/S, CF)	Yahoo Finance quoteSummary API	query2.finance.yahoo.com
Current Stock Price, Beta, Market Cap	Yahoo Finance price module	query2.finance.yahoo.com
Risk-Free Rate (10-yr Treasury)	Yahoo Finance ^TNX	query1.finance.yahoo.com/v8/finance/chart/%5ETNX
Equity Risk Premium	NYU Stern Online (NYU Stern)	pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/implprem.html
SEC Filings (10-K annual reports)	SEC EDGAR Full-Text Search	https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000320193&type=10-K&dateb=&owner=include&count=5

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